

Prime Insights & Analytics Chart Pack – Macro Hedging. Asia Inflows. Profit Taking in US Semis.

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** More details and charts in the PDF attachment **

*** GS Prime clients can request access to Gross/Net leverage, L/S ratios, trading flows/exposures data and visuals by region, sector, and factor through Marquee API and [MarketView](#) – Please reach out to your GS representative for more detail.*

Despite elevated factor volatility and the recent momentum drawdown (worst 2-day selloff in the high beta momentum pair [GSPRHIMO](#) since 2022), Global Fundamental L/S managers have navigated demanding technicals + a more difficult macro backdrop and recorded positive performance so far in May (+1.75% MTD with +1.6% alpha; now up +9.8% YTD with +6.2% alpha). Systematic L/S returns are relatively more muted MTD at +0.79% (up +10.2% YTD). Fundamental L/S managers are tracking to outperform Systematic L/S funds for a second consecutive month (for both total and alpha returns).

Hedge funds have been actively deploying capital across most regions and sectors, and overall Gross leverage has risen +10 pts MTD to fresh 5-year highs. But overall Net leverage is little changed in the past month (now in the 58th percentile on a 3-year lookback), which does not point to euphoria – in contrast to the ebullience exhibited by retail traders ([link](#)), vol skews ([link](#)), and levered ETFs ([link](#)). Over the past month, managers have 1) actively unwound risk in US Tech stocks against the price rally, 2) retained a cautious stance across most

of the cyclical pockets, and 3) more recently started to hedge beta exposures again via macro products amidst higher inflation prints and rising bond yields.

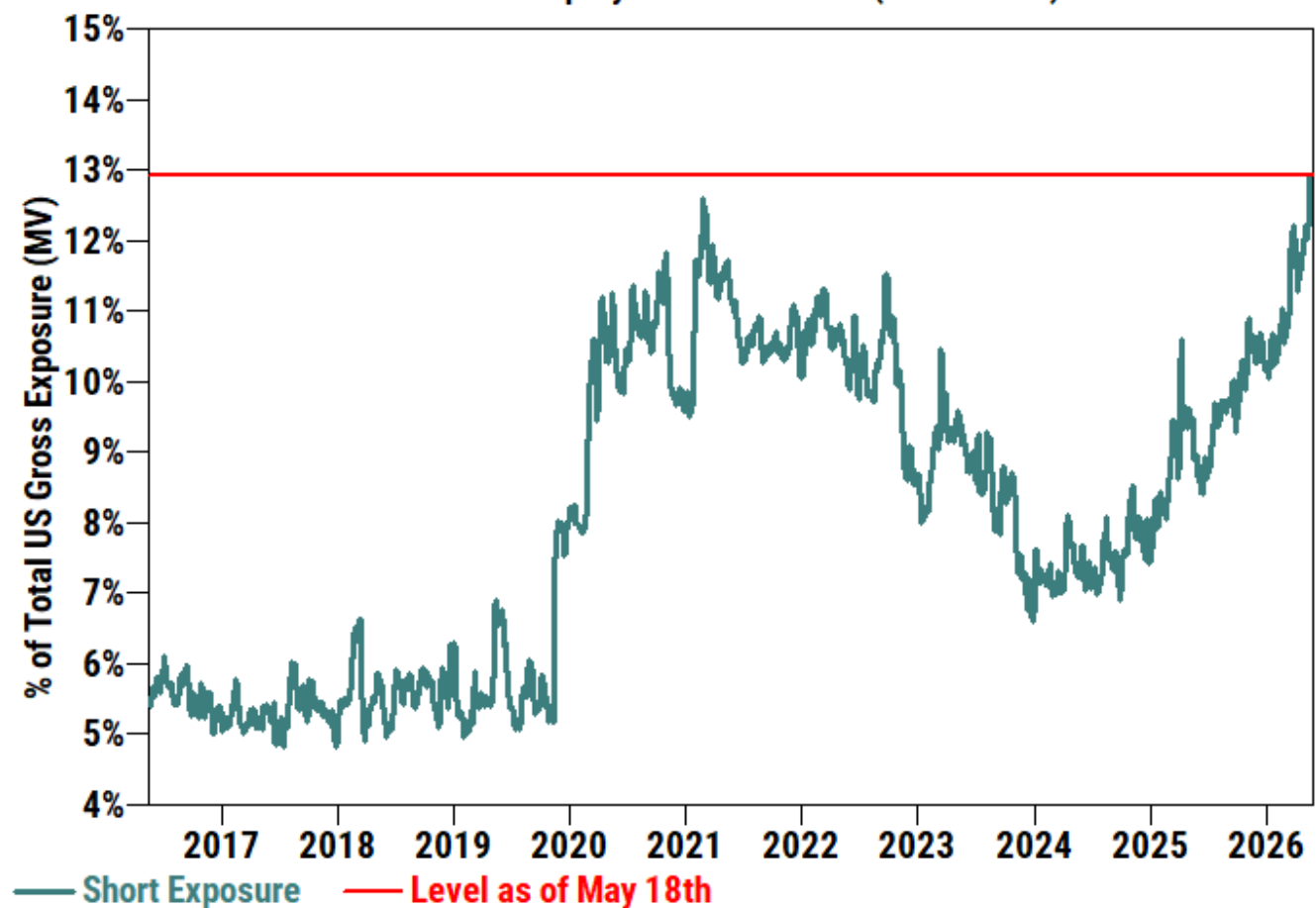
From a regional perspective within the hedge fund universe, Asia over US remains the dominant theme. Asia (DM + EM) is the most net bough region both MTD and YTD – most Asia markets are net bought so far in May, led by China, Japan, Hong Kong, and Taiwan, while North America is by far the most net sold.

Thematic and factor highlights: 1) Semis & Semi Equip is the most net sold US subsector in the past month (now net sold YTD), led by long sales, suggesting hedge funds have taken profits/some chips off the table. This points to refrain and managing Semis' exposures within the overall portfolio amid the group's explosive price rally, not a regime shift away from the AI theme, in our view, as overall exposures to US AI stocks (GSTMTAIP) are still near record highs. **2) There are nascent signs managers are starting to lean into areas where positioning is light as gross/net allocations for several Non-Tech sectors in the US are sitting at/near their respective multi-year lows** (e.g., Financials, Real Estate, Consumer stocks are all modestly net bought MTD). **3) Exposure to Medium-Term Momentum has come off record high levels though remains elevated vs. history.** From a factor perspective, it's worth noting that Info Tech and Medium-Term Momentum, which are highly correlated, are by far the largest individual contributors to Fundamental L/S alpha returns YTD.

Chart(s) of the Month

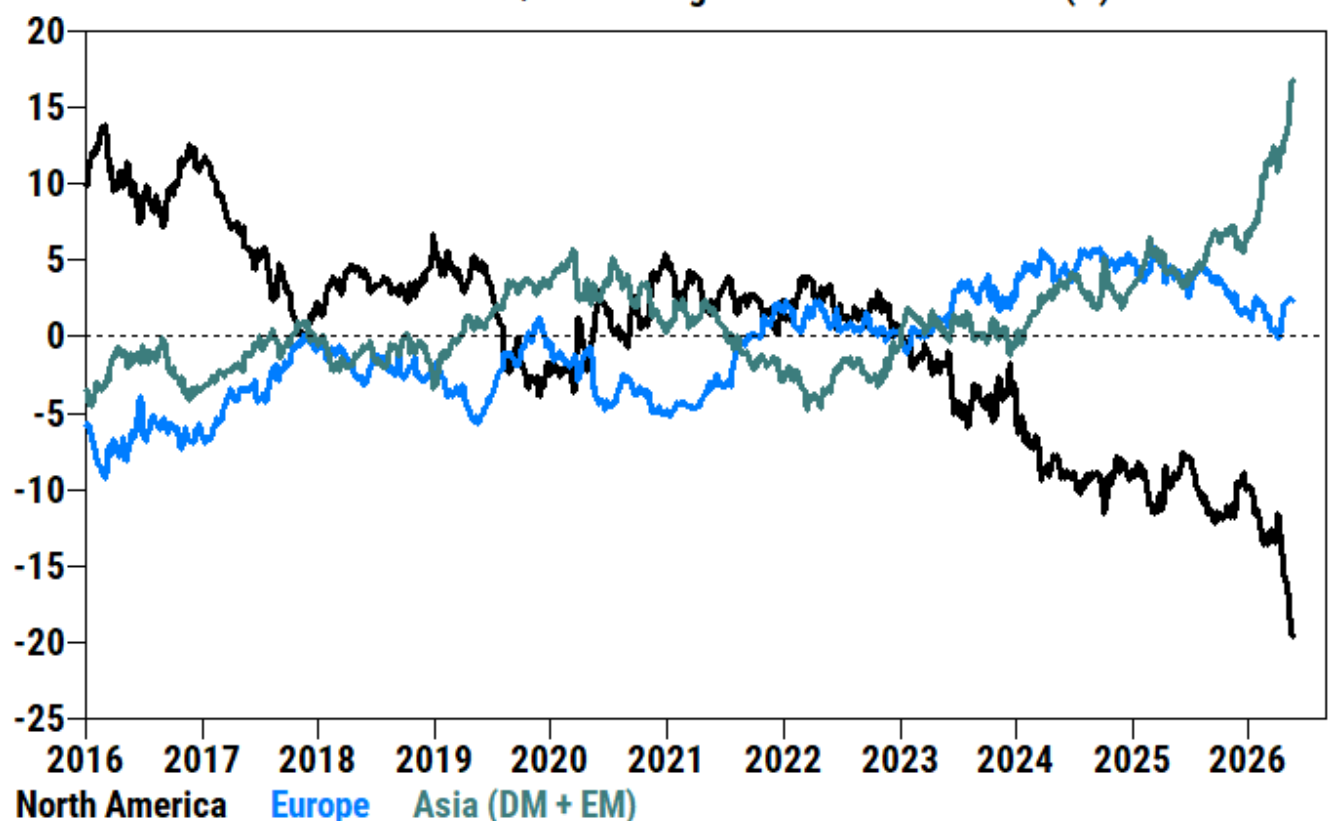
Despite the sharp market rally to new all-time-highs, HFs have continued to sell US equities MTD, driven by Macro Products (Index + ETF) where short exposure has now risen above the levels seen before the Iran ceasefire and is at a 10-year high.

Prime Book: US Equity Macro Products (Index + ETF)



Net allocations to Asia and North America have kept diverging vs. the MSCI World ACWI and are now at their respective highest and lowest levels on our record (since 2016).

Prime Book: Over/Under-Weight vs. MSCI World ACWI (%)



Semis & Semi Equip is the most net sold US subsector in the past month by hedge funds (and now net sold YTD), led by long sales, suggesting managers have taken profits/some chips off the table amid the group's sharp price rally.

How has the long/short ratio evolved for Americas Semiconductors & Semiconductor Equipment?

20 May 21



Long/Short Ratio

Data Source: Prime Book Flows and Exposures



Kartik Singhal and 1 other



Source: [Marquee MarketView](#)

Source: Goldman Sachs FICC and Equities and Prime Services data as of May 18, 2026. Past performance is not indicative of future results. All references to “we/us/our” refer to the views and observations of the desk unless specified otherwise.

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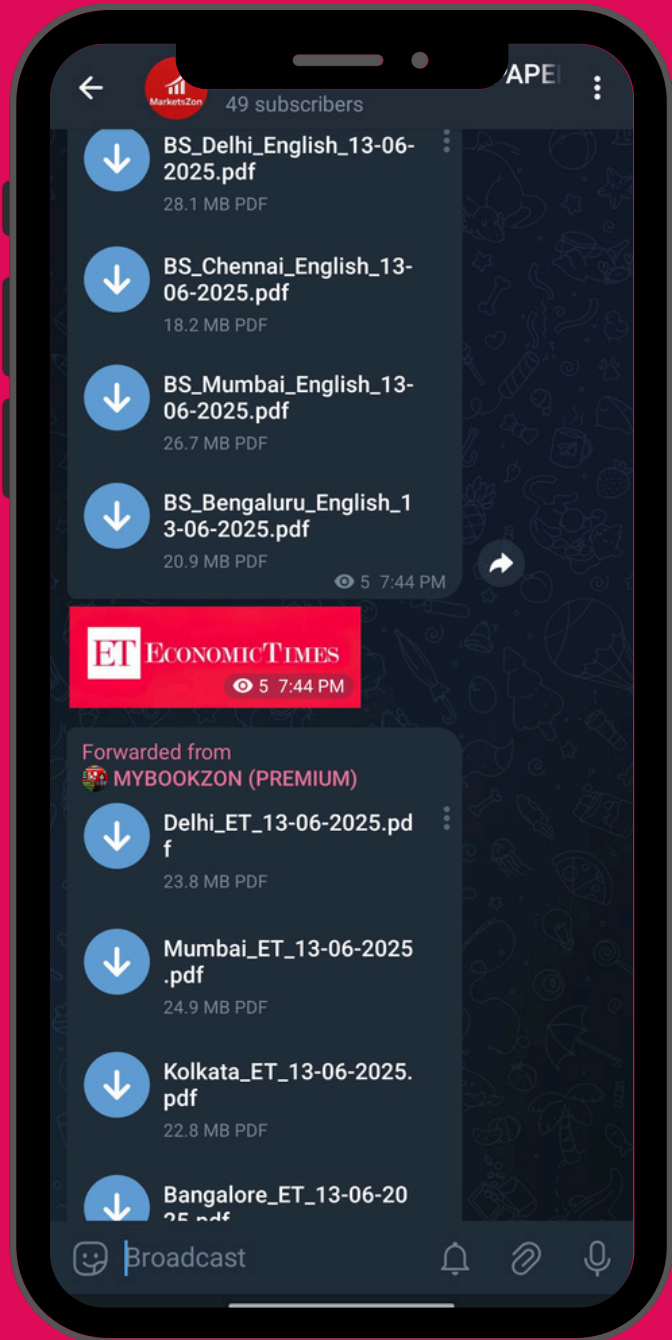
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